

BASICS OF F&O TRADING

Two types of Derivatives:

- Futures
- Options

- **Futures Contract**

A Futures Contract is a legal agreement between two parties to buy or sell a particular asset (commodity, index, or other derivative) at a predetermined price on a specified future date.

Stock v/s futures chart



TradingView

Stock

futures

Margin: stock vs futures

RELIANCE

BSE ₹1,503.60

NSE ₹1,503.70

Quick
Regular
MTF
Iceberg
Cover

Intraday MIS

Qty. 500

Longterm CNC

Price 1500

Trigger price 0

Market

Limit

SL

SL-M

Stoploss %

Target %

Required ₹7,50,000.00 + 890.05

Available ₹0.00

Buy

Cancel

RELIANCE JAN FUT

NFO ₹1,509.90

Quick
Regular
Iceberg

Intraday MIS

Qty. 500

Overnight NRML

Price 1500

Trigger price 0

1 lot

Market

Limit

SL

SL-M

Stoploss %

Target %

Required ₹1,38,925.00 + 55.68

Available ₹0.00

Buy

Cancel

Qty: 500 Price: ₹1,500

Stock: ₹7,50,000 needed (full payment)

Futures: ₹1,35,000 margin (18% only , 5x leverage)

Can short futures contracts (profit from falls)

Can trade in indices (NIFTY, SENSEX , etc.)

How to select future contract

NIFTY 50 26153.90 -96.40 (-0.37%)

SENSEX 84991.54 -448.08 (-0.52%)

reliance

Ctrl + K

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#

MF

IPO

Events

Brands

ETF

G-Secs

RELIANCE

RELIANCE INDUSTRIES

NSE

RELIANCE

RELIANCE INDUSTRIES

BSE

RELIANCE JAN FUT

NFO

RELIANCE FEB FUT

NFO

RELIANCE MAR FUT

NFO

RELIANCE JAN 1580 CE

NFO

RELIANCE JAN 1580 PE

NFO

RELIANCE JAN 1590 CE

NFO

RELIANCE JAN 1590 PE

NFO

RELIANCE JAN 1570 CE

NFO

RELIANCE JAN 1570 PE

NFO

RELIANCE JAN 1600 CE

NFO

RELIANCE JAN 1600 PE

NFO

1

2

3

4

5

6

7

+

Dashboard

Orders

Holdings

Positions

Bids

Orders

GTT

Baskets

SIP

Alerts



You haven't placed any orders today

Get started

View history

Basic Terms And Concepts

- Futures and options are derivatives contracts that derive their value from an underlying asset such as stocks, commodities, currencies, or indices.
- They are widely used in financial markets for speculation, hedging, and risk management.
- Here's an introduction to futures and options along with some basic terms and concepts:

Key Features of Futures Contracts

- **Standard Lot Size**
- Futures can be traded only in fixed lots, as per the lot size decided by the exchange.
- You cannot buy or sell a single unit like in equity; you must trade in lot multiples.

Key Features of Futures Contracts

- **Tenor / Contract Months Available**
- At any given time, Futures Contracts are available for up to three months:
- Near-month contract (current month)
- Next-month contract
- Far-month contract

Key Features of Futures Contracts

- **Expiry Date**
- Unlike equities, Futures Contracts have an expiry date.
- Index and stock futures expire on the last Tuesday of every month.
- If that day is a holiday, the expiry is on the previous trading day.

Key Features of Futures Contracts

- **Margin Requirement**
- You do not pay the full contract value while trading futures.
- Instead, you pay a margin amount, which is a small percentage of the total contract value.

Options Contract

An Options Contract gives the buyer the right, but not the obligation, to buy or sell an underlying asset at a predetermined price (strike price) within a specified period.

- **Types of Options**

Call Option (CE)

Gives the buyer the right to BUY the underlying asset at the strike price.

Put Option (PE)

Gives the buyer the right to SELL the underlying asset at the strike price.



Price Movement of Options contract



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Key Terms

- **Premium**

The buyer pays a premium to the seller (writer) to get the rights under the option contract.

This is the cost of the option.

- **Obligations**

The buyer has a right, not a compulsion to exercise the option.

The seller (writer) has the obligation to fulfill the contract if the buyer chooses to exercise the option.

Price Movement of CE and PE

- The price of Call (CE) and Put (PE) options changes based on the movement of the underlying asset.
- **Strike Price & Available Contracts**
- There are multiple option contracts available for both CE and PE, each with a predefined price, called the Strike Price.

Price Movement of CE and PE

- **Example (if NIFTY = 26,000):**
- Above current value (OTM Calls / ITM Puts): 26,050, 26,100, 26,150, etc.
- Below current value (ITM Calls / OTM Puts): 25,950, 25,900, 25,850, etc.
- These different prices like 26,050, 26,100, 26,150, 25,950, 25,900, 25,850 are called **Strike Prices**.
- Options Contracts are also traded in lot sizes, not as single units.

- **Example: NIFTY Option Contract**
- **NIFTY 3rd July 26000 CE @ 100**
- **Underlying Asset:** NIFTY
- **Expiry Date:** 3rd July
- **Strike Price:** 26,000
- **Type of Option:** CE (Call Option)
- **Premium / Value:** 100
- Contracts of NIFTY expire every Tuesday

Basic Trading View (Direction vs CE / PE)

- If the value of the underlying asset is increasing (rising):
 - Buy CE (Call Option)
 - Or Sell PE (Put Option)
- If the value of the underlying asset is decreasing (falling):
 - Buy PE (Put Option)
 - Or Sell CE (Call Option)

THANK YOU